

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 25-16

IWG INTERNATIONAL WOOD GROUP OF SC AND HONEST TRADING
Complainants

VERSUS

DB SCHENKER USA, INC.
Respondent

RESPONDENT'S VERIFIED ANSWER AND AFFIRMATIVE DEFENSES

COMES NOW, Respondent, Schenker Inc., incorrectly named as DB Schenker USA, Inc., by and through its undersigned counsel and files this, its Verified Answer and Affirmative Defenses and states as follows:

Section 1 – The Complaint

The Complainants, **IWG International Wood Group of SC** is a limited liability company organized and existing under the laws of the State of South Carolina, with its principal place of business located in South Carolina. IWG International Wood Group of SC is engaged in the business of international wood product trade and export.

RESPONSE: Respondent is without sufficient knowledge to form a response to the allegations and therefore denies same.

Honest Trading International LLC is a limited liability company organized and existing under the laws of the State of Georgia, with its principal place of business located in Georgia. Honest Trading International LLC is engaged in the business of international trade, procurement, and distribution of goods globally.

RESPONSE: Respondent is without sufficient knowledge to form a response to the allegations and therefore denies same.

Acting as exporters under a Letter of Credit (LC), the Complainants **IWG International Wood**

Group of SC and Honest Trading International LLC bring this complaint against the Respondent, **DB Schenker USA, Inc.** for **multiple violations of the Shipping Act of 1984, as amended**, involving **negligent handling, misrouting, documentation errors, and failure to meet contractual and regulatory obligations** across several distinct shipments.

RESPONSE: Admit that complainants assert the claims set forth in the Complaint. Otherwise Denied.

Specifically, the Respondent's conduct constitutes a violation of:

- **46 U.S.C. § 41102(c)**
A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

RESPONSE: Denied.

The Respondent, acting in its capacity as a licensed Non-Vessel-Operating Common Carrier (NVOCC) and freight forwarder, failed to establish, observe, and enforce just and reasonable practices in its handling of the Complainants' cargo and documentation. These failures resulted in substantial financial loss, reputational harm, regulatory complications, and disruptions to commercial obligations.

RESPONSE: Denied.

To the extent that the Respondent may have acted unfairly or discriminatorily in the provision of its services, **46 U.S.C. § 41104(a)(2)** may also apply:

- **46 U.S.C. § 41104(a)(2)**
A common carrier may not engage in any unfair or unjustly discriminatory practice in the matter of rates or charges, or in any manner of service, including in handling or processing of documentation.

RESPONSE: Denied.

The Complainants reserve the right to expand upon these allegations and statutory bases during the course of proceedings and upon discovery.

RESPONSE: There is no allegation herein for Respondent to admit or deny.

Each booking's issues are detailed as follows:

1. Shipment YMJAE165376334 – Booking No. YHU25912806

The Respondent, **DB Schenker USA, Inc.**, acting as a licensed Non-Vessel-Operating Common Carrier (NVOCC) and freight forwarder, failed to properly manage the shipment by mishandling critical shipping documents including the Original Bill of Lading (OBL).

These failures led to shipping delays, abandonment of cargo, breach of letter of credit (LC) terms, and significant financial harm, damaging the Complainants, **IWG International Wood Group of SC and Honest Trading International LLC**, business reputation and commercial relationships.

RESPONSE: Denied.

2. **Shipment YMJAE165376232 – Booking No. YHU25912853**

The Respondent, **DB Schenker USA, Inc.**, engaged in repeated negligent practices including unjustified delays, failure to timely prepare and revise shipping documentation, misrouting of LC documents violating bank-to-bank routing terms, and improper endorsement of Bills of Lading. This conduct resulted in invalidation of the LC, forced payment term changes, additional administrative costs, and reputational damage to the Complainants, **IWG International Wood Group of SC and Honest Trading International LLC**.

RESPONSE: Denied.

3. **Shipment YMJAE165375938 – Booking No. YHU25912863**

The Respondent, **DB Schenker USA, Inc.**, repeatedly failed to comply with commercial and regulatory documentation standards, including issuing inaccurate Bills of Lading and Certificates of Origin despite clear corrections provided by the Complainants, **IWG International Wood Group of SC and Honest Trading International LLC**. The Respondent's omissions caused LC expiration, delayed cargo clearance due to regulatory non-compliance, and forced the Complainants to expend additional resources and incur financial losses.

RESPONSE: Denied.

4. **Shipment #2154787640**

The Respondent, **DB Schenker USA, Inc.**, failed to provide reasonable and reliable services expected of a licensed NVOCC. Document mishandling, unjustified delays, and poor communication led to financial damages and disrupted shipment schedules, adversely affecting the Complainants, **IWG International Wood Group of SC and Honest Trading International LLC's** operations and contractual obligations.

RESPONSE: Denied.

5. **Shipment RICFE2007400**

The Respondent, **DB Schenker USA, Inc.**, engaged in unjust and unreasonable practices in handling and documentation, causing significant disruption to the Complainants, **IWG International Wood Group of SC and Honest Trading International LLC's** business operations, including delays in shipping schedules and financial damages due to failure to meet agreed terms and shipping standards.

RESPONSE: Denied.

Each instance independently demonstrates **DB Schenker USA, Inc.**'s failure to perform duties with reasonable care and in accordance with the Shipping Act of 1984, directly resulting in harm to the Complainants, **IWG International Wood Group of SC and Honest Trading International LLC**'s business interests.

RESPONSE: Denied.

Complainant Contact:

Steven Craig Swilley
255 Ridgeville Rd | Ridgeville, SC 29472
+1 (409) 504-1025
cs@iwgcorp.com

Respondent is without sufficient knowledge to form a response to the allegations and therefore denies same. Further, no contact information is provided with respect to Honest Trading International LLC. As such, all claims by such entity should be stricken.

Section 2 – The Respondent

The Respondent, **DB Schenker USA, Inc.**, is an ocean transportation intermediary and non-vessel-operating common carrier (NVOCC), responsible for arranging international shipments and handling documentation, operating within the United States and subject to the jurisdiction of the Federal Maritime Commission.

RESPONSE: Admit insofar as the FMC has jurisdiction over Respondent, Schenker, Inc, incorrectly named as DB Schenker USA, Inc. in its capacity as an OTI for OTI services. Respondent denies that the Commission has jurisdiction over the claims asserted herein.

Respondent Contact:

Schenker, Inc.
1305 Executive Blvd
Chesapeake, VA 23320

Section 3 – Jurisdiction and Legal Authority

This complaint is filed under the Shipping Act of 1984, as amended by the Ocean Shipping Reform Act of 2022, pursuant to **46 U.S.C. §§ 41102(c), 41301–41309**. The Federal Maritime Commission has jurisdiction over the Respondent, **DB Schenker USA, Inc.**, as a regulated NVOCC engaging in international ocean transport.

RESPONSE: Admit that the Complaint asserts claims purportedly arising under the

Shipping Act. Admit insofar as the FMC has jurisdiction over Respondent, Schenker, Inc, incorrectly named as DB Schenker USA, Inc. in its capacity as an OTI for OTI services. Respondent denies that the Commission has jurisdiction over the claims asserted herein. All other allegations are denied.

Section 4 – The Matter Complained Of (Alleged Facts)

Shipment YMJAE165376334 – Booking No. YHU25912806

The Complainant, IWG International Wood Group of SC and Honest Trading International LLC, contracted the Respondent, DB Schenker USA, Inc., for ocean freight forwarding services. The Complainant made repeated requests between March 31 and April 24 for a full set of shipping documents. The Respondent's delay in providing these documents caused scheduling disruptions. On May 5, the Respondent mistakenly sent original Letter of Credit (LC) documents directly to the buyer's bank, violating LC terms that required bank-to-bank routing, which invalidated the LC and forced the Complainant to shift to telegraphic transfer (T/T) payment terms. On May 20, the Respondent failed to properly endorse the Bill of Lading, necessitating a Letter of Indemnity (LOI) for cargo release. On June 12, the consignee reported that the Bill of Lading was not original; this was later confirmed by Yang Ming Thailand, who stated that a telex release was not possible since an Original Bill of Lading (OBL) had already been issued. Video and photo evidence indicated the delivered document lacked required terms, suggesting mishandling by the Respondent. The Respondent attempted to shift liability by requesting the Complainant and the shipper to sign a hold harmless indemnity, which was refused. Between May 13 and 14, errors in the Certificate of Origin required revisions and resubmission, causing further delays and damaging the Complainant's trade relationships.

RESPONSE: Denied.

Shipment YMJAE165376232 – Booking No. YHU25912853

The Complainant, IWG International Wood Group of SC and Honest Trading International LLC, engaged the Respondent, DB Schenker USA, Inc., for shipments of wood products from Thailand to the United States under multiple bookings, including YHU25912853. The Respondent failed to meet reasonable standards of diligence and communication, exhibiting unresponsiveness and delays exceeding two weeks despite repeated follow-ups. Key shipping documents—including Bills of Lading, Commercial Invoices, Phytosanitary Certificates, and Certificates of Origin—were repeatedly revised and delayed. The Respondent failed to correct consignee and notify party details despite explicit instructions from the Complainant from March 28 to April 17, 2024. Incorrect documents were issued with discrepancies in gross weight and volume, causing customs clearance and regulatory delays such as USDA phytosanitary certificate issuance problems. The Respondent also failed to coordinate properly with the bank on LC requirements, resulting in LC expiration and forcing the Complainant to shift to T/T payment, increasing financial exposure. Failure to endorse the original Bills of Lading necessitated Letters of Indemnity after cargo arrival, further delaying release. These errors reflect a lack of awareness of standard NVOCC responsibilities in documentation and regulatory compliance.

RESPONSE: Denied.

Shipment YMJAE165375938 – Booking No. YHU25912863

Between March and June 2024, the Complainant, IWG International Wood Group of SC and Honest Trading International LLC, contracted the Respondent, DB Schenker USA, Inc., to manage logistics and documentation for shipment YHU25912863. Despite multiple communications and the Complainant's submission of accurate information, the Respondent failed to respond for more than two weeks after receiving corrected Bills of Lading (March 14–April 1, 2024). The Respondent repeatedly issued inaccurate shipping documents including Bills of Lading, Certificates of Origin, Packing Lists, and Commercial Invoices despite receiving clear corrections. An incorrect Original Bill of Lading (OBL) was issued with material discrepancies in weight and volume that differed from the approved draft. The Respondent failed to ensure documentation complied with Letter of Credit requirements, causing the LC to expire on May 7, 2024. Additionally, the Respondent did not properly endorse the OBL, requiring the Complainant to submit Letters of Indemnity post-arrival to facilitate cargo release. Lack of knowledge regarding USDA and other regulatory requirements caused delays in phytosanitary certification.

RESPONSE: Denied.

Shipment #2154787640 – ATD February 26, 2025, ETA April 18, 2025

The Complainant, IWG International Wood Group of SC and Honest Trading International LLC, retained the Respondent, DB Schenker USA, Inc., as freight forwarder and NVOCC for shipment #2154787640. The Complainant submitted shipping instructions, invoices, and certificates beginning February 24, 2025. The Respondent provided no updates or communication between February 25 and March 18. After the Complainant and their customer approved the draft Bill of Lading on March 20 and instructed the Respondent to proceed, the Respondent failed to act accordingly. Essential documents—including Invoice, Packing List, Certificate of Origin, and Phytosanitary Certificate—were omitted when the Respondent sent documents to the buyer's bank, violating L/C protocols. Repeated follow-ups from March 26 to April 15 were required for scanned documents and status updates. The Respondent sent only the Bill of Lading to the bank, confirmed by the customer's bank on April 15. Further delay occurred due to the Respondent losing track of the phytosanitary certificate and needing to reissue it. Incorrect shipper details appeared in the Bill of Lading; the customer acknowledged the error but chose not to amend to avoid further delays. Despite delays caused entirely by the Respondent, no free detention time was granted. These actions reveal systemic negligence and disregard for NVOCC responsibilities under U.S. maritime law.

RESPONSE: Denied.

Shipment RICFE2007400 – ATD March 11, 2025, ETA April 23, 2025

The Complainant, IWG International Wood Group of SC and Honest Trading International LLC, contracted the Respondent, DB Schenker USA, Inc., for freight forwarding services related to shipment RICFE2007400. Despite having all required shipping information by March 20, 2025, the Respondent delayed issuing draft and final shipping documents, necessitating repeated

follow-ups. The Respondent issued a Bill of Lading with incorrect gross weight figures, disregarding the final invoice and packing list provided. The Respondent proceeded to manifest the Bill of Lading with known discrepancies, which rendered amendments impossible without destination approval and caused further delays. The USDA phytosanitary certificate was delayed because the errors conflicted with packing list data, preventing cargo clearance. The Respondent failed to dispatch the complete set of LC documents to the issuing bank timely, risking non-compliance. Additionally, the Respondent did not communicate or settle required charges for telex release promptly, compounding demurrage and pressuring the Complainant's buyer relationship.

RESPONSE: Denied.

Section 5 – Causation

The damages suffered by **the Complainant, IWG International Wood Group of SC and Honest Trading International LLC**, were directly caused by **the Respondent, DB Schenker USA, Inc.**, in the following ways:

1. Shipment YMJAE165376334 / Booking No. YHU25912806

The Complainant, **IWG International Wood Group of SC and Honest Trading International LLC**, incurred damages due to:

- Repeated documentation delays by the Respondent, DB Schenker USA, Inc.;
- Misrouting of critical LC documents, which violated specific letter of credit instructions and rendered the LC invalid;
- Improper handling and endorsement of the Bill of Lading;
- Mishandling or loss of the Original Bill of Lading (OBL), which lacked reverse-side terms upon delivery;
- Denial of accountability by the Respondent, DB Schenker USA, Inc., despite clear evidence of error.

RESPONSE: Denied.

2. Shipment YMJAE165376232 / Booking No. YHU25912853

The delays, financial losses, and administrative burdens experienced by the Complainant, **IWG International Wood Group of SC and Honest Trading International LLC**, were directly caused by the Respondent, DB Schenker USA, Inc.'s failure to:

- Act with due diligence in handling shipping documentation;

- Revise and correct documentation errors in a timely manner;
- Coordinate with carriers, regulatory bodies, and financial institutions, resulting in a missed LC deadline;
- Address gross weight and volume discrepancies, requiring reissuance of USDA-related documentation and causing additional regulatory delays;
- Meet the standards required of a Non-Vessel-Operating Common Carrier (NVOCC) under U.S. maritime law.

RESPONSE: Denied.

3. Shipment YMJAE165375938 / Booking No. YHU25912863

The above actions and omissions by the Respondent, DB Schenker USA, Inc., directly caused:

- Expiration of the Letter of Credit and forced transition to telegraphic transfer (T/T) payment terms, increasing financial exposure to the Complainant, IWG International Wood Group of SC and Honest Trading International LLC;
- A documented financial discrepancy of \$4,090.26 due to inaccurate cargo weight and volume;
- Reissuance and reprocessing of Bills of Lading, Certificates of Origin, Packing Lists, and Commercial Invoices;
- Additional courier, banking, and administrative costs due to repeated documentation corrections;
- Reputational damage with the international buyer, resulting from chronic delays and errors.

RESPONSE: Denied.

4. Shipment #2154787640

The delays and financial losses directly stemmed from the Respondent, DB Schenker USA, Inc.'s repeated failures in documentation management:

- After the Complainant, IWG International Wood Group of SC and Honest Trading International LLC, approved the draft Bill of Lading on March 20, the Respondent provided no updates, stalling banking procedures;

- The Respondent sent only the Bill of Lading to the bank, omitting all supporting documentation, in violation of the LC requirements, which led to clearance issues;
- The Respondent's mishandling necessitated repeated revisions to key documents and the reissuance of the phytosanitary certificate;
- The refusal to offer free detention time despite acknowledged delays, and the failure to accept fault, contributed directly to the Complainant's financial burden;
- The buyer had to accept incorrect documentation to avoid further delay, despite clear errors originating from the Respondent.

RESPONSE: Denied.

5. Shipment RICFE2007400

The actions of the Respondent, DB Schenker USA, Inc., directly caused material harm to the Complainant, IWG International Wood Group of SC and Honest Trading International LLC, through:

- Delays in issuing timely and accurate draft and final documents, despite receiving full shipping details by March 20;
- Incorrect Bill of Lading data—especially gross weight—which the Respondent failed to correct before manifesting, resulting in complications at destination;
- USDA's delay in phytosanitary certification, due to conflicting data between the Bill of Lading and packing list;
- Failure to dispatch original LC documents to the issuing bank in a timely manner, placing the entire transaction at risk of non-compliance;
- Poor handling of telex release and delayed communication about related charges, leading to compounded demurrage and buyer dissatisfaction.

RESPONSE: Denied.

Section 6 – Damages

Shipment YMJAE165376334 – Booking No. YHU25912806

The Complainants, **IWG International Wood Group of SC and Honest Trading International LLC**, incurred the following damages as a direct result of the Respondent, **DB Schenker USA, Inc.**'s actions:

- Loss of secure LC (Letter of Credit) payment, exposing the Complainants to increased financial risk under T/T payment terms (approx. **USD \$18,005.14**);
- Abandonment of cargo at destination due to documentary and coordination failures;
- Administrative and legal costs related to Letter of Indemnity (LOI) and multiple document corrections (**USD \$3,000–\$5,000**);
- Damage to business relationships and reputational harm in international trade circles;
- Internal labor and resource costs due to follow-ups and mitigation efforts;
- **Total estimated damages: USD \$20,005.14+**, excluding reputational and consequential harm.

RESPONSE: Denied.

Shipment YMJAE165376232 – Booking No. YHU25912853

The Complainants, **IWG International Wood Group of SC and Honest Trading International LLC**, suffered the following as a result of the Respondent, **DB Schenker USA, Inc.**'s conduct:

- Financial discrepancy of **USD \$4,090.26** due to errors in cargo weight and volume on documentation;
- Administrative and courier costs to correct and resend documents: **USD \$2,000.00**;
- Loss of LC payment terms, resulting in heightened financial exposure;
- Customer dissatisfaction, reputational harm, and jeopardized future contracts;
- Extensive labor costs for over 60 days of follow-ups and coordination;
- **Total damages claimed: USD \$54,875.72**, not including additional reputational or indirect losses.

RESPONSE: Denied.

Shipment YMJAE165375938 – Booking No. YHU25912863

The Complainants, **IWG International Wood Group of SC and Honest Trading International LLC**, claim the following damages as a direct result of the Respondent, **DB Schenker USA, Inc.**'s conduct:

- Financial discrepancy of **USD \$4,090.26** due to inaccurate documentation of cargo specifications;
- Banking, courier, and administrative costs totaling **USD \$2,000.00**;

- Reputational damage and strained relations with the international buyer;
- Exposure to demurrage, storage, and amendment fees (to be detailed upon request);
- **Total estimated damages: USD \$70,479.58**, excluding further consequential or reputational losses.

RESPONSE: Denied.

Shipment #2154787640

The Complainants, **IWG International Wood Group of SC and Honest Trading International LLC**, incurred the following due to the actions of the Respondent, **DB Schenker USA, Inc.**:

- Pending detention and demurrage charges attributable to documentary delays;
- Internal costs for tracking, correspondence, and banking actions: **USD \$2,000.00**;
- **Total claim: USD \$2,000.00** plus the full value of pending demurrage and detention charges at the destination;
- Supporting documentation and correspondence are available for evidentiary review.

RESPONSE: Denied.

Shipment RICFE2007400

The Complainants, **IWG International Wood Group of SC and Honest Trading International LLC**, estimate total damages resulting from the Respondent, **DB Schenker USA, Inc.**'s failures at **USD \$4,400.00**, including:

- Detention and demurrage: **USD \$2,400.00**;
- Price reduction granted to buyer to prevent cancellation: **USD \$2,400.00**;
- Administrative and internal resource costs: **USD \$2,000.00**; Cumulative loss tied to shipment delay and reputational harm: **USD \$4,400.00**;
- Supporting invoices, communications, and logs are available for verification.

RESPONSE: Denied.

Total Cumulative Damage Claim

The total cumulative damages across all five bookings—excluding reputational harm and unresolved demurrage charges—are calculated as follows:

- **Shipment YHU25912806:** USD \$20,005.14
- **Shipment YHU25912853:** USD \$54,875.72
- **Shipment YHU25912863:** USD \$70,479.58
- **Shipment #2154787640:** USD \$2,000.00
- **Shipment RICFE2007400:** USD \$4,400.00

Total Cumulative Damages Claimed: USD \$151,760.44+

(Excludes reputational harm, potential demurrage still accruing, and further consequential damages subject to supporting documentation.)

RESPONSE: Denied.

Section 7 – Request for Relief

The Complainants, **IWG International Wood Group of SC and Honest Trading International LLC**, respectfully request that the Federal Maritime Commission:

- Find **Respondent DB Schenker USA, Inc.** in violation of 46 U.S.C. § 41102(c) for failing to observe and enforce just and reasonable practices;
- Award the Complainants reparations of **cumulative total damage claim amount across all bookings** is approximately: **USD \$168,959.44** or greater for financial losses;
- Require **Respondent DB Schenker USA, Inc.** to implement corrective internal policies for proper documentation handling, customer communication, and regulatory compliance; and
- Grant any other relief the Commission deems just and proper

RESPONSE: Denied.

Section 8 – Request for Oral Hearing

Complainant IWG International Wood Group of SC and Honest Trading International LLC requests an oral hearing, with preferred venue in **Charleston, South Carolina, USA.**

Response: Respondent denies that any hearing is warranted.

AFFIRMATIVE DEFENSES

1. The Commission lacks subject matter jurisdiction.
2. The Complaint fails to state a claim for which relief may be granted.
3. The claims are barred in whole or in part by the applicable statute of limitations.
4. Complainants are not entitled to reparations because it has suffered no harm.
5. Complainants lack standing to assert the claims herein.
6. The conduct which is subject to the Complaint does not constitute a practice within the meaning of the Shipping Act.
7. Any demurrage or detention charges complained of was due in whole or in part to the acts and/or omissions of the ocean carriers, terminal operators, and/or the cargo interest(s).
8. Any demurrage or detention charges complained of was due in whole or in part to the acts and/or omissions of Complainants.
9. The claims are barred by the doctrines of waiver and estoppel.
10. Respondent claims the right of setoff.
11. Respondent's conduct was reasonable in light of the totality of the circumstances.
12. Complainants' claims are barred by unclean hands and/or illegality.
13. Complainants failed to mitigate their damages.
14. Respondent reserves its right to modify and assert additional affirmative defenses which it deems necessary to its defense during or upon the conclusion of investigation and discovery.

Dated: September 22, 2025

Respectfully submitted,

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Andrew R Spector, Esq.
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Counsel for Respondent

CERTIFICATE OF SERVICE

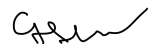
I **HEREBY CERTIFY** that a true and correct copy of the forgoing was served on September 22, 2025, via electronic mail, which shall notify all parties of record on this matter.

By: /s/ Robert Borak
Robert M. Borak, Esq.

VERIFICATION

I, Genta Seseri-Sina, hereby declares and attests under penalty of perjury that I have read the foregoing Answer and believe, to the best of my knowledge, information and belief that the facts stated therein are true and correct.

Dated: 09/22/2025

 Genta Seseri-Sina
